GENERATIVE AI | GOVERNANCE CASE STUDY

Deloitte Australia TCF Assurance Report

When AI-assisted errors pass through professional quality assurance

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2025 incident • Department of Employment and Workplace Relations (DEWR)

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Presentation roadmap

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Based on the case-study report

Why this case?

Public visibility

Reported in Australia and internationally; raised questions about GenAI in professional consulting.

Reputational Risk

Potential reputational consequences may exceed the direct financial impact; actual long-term damage is unknown.

Governance question

Why did inaccurate content pass through quality assurance before delivery to a government client?

GenAI Risk: Output Quality Issues • Hallucination
Risk Mgt: Operational Risk • Accountability • Oversight • Compliance • Reputational Risk

Source: case-study report §2

What was Deloitte commissioned to do?

Targeted Compliance Framework (TCF)

Australian welfare compliance framework for mutual obligations. Non-compliance can lead to payment suspension or cancellation.

Independent assurance review

DEWR commissioned Deloitte in December 2024 to examine policy/legal alignment, operational reliability, governance and assurance.

Important distinction: TCF was the subject of the review; GenAI was used in preparing parts of Deloitte's report.

Source: case-study report §3

How the incident unfolded

DEC 2024	DEWR commissions review
04 JUL 2025	Original report dated
22 AUG 2025	Media concerns; Deloitte sends corrections
08–09 SEP	DEWR seeks verification and repayment
26 SEP 2025	Revised report delivered
14 OCT 2025	CEO apology and acknowledgement

Sources: Deloitte–DEWR correspondence; revised TCF report; CEO letter

Two different accuracy failures

01 Academic references

Incorrect or non-existent citations, including references attributed to scholars that required replacement. Deloitte mapped 11 affected footnote locations in its 22 August annex.

02 Legal interpretation

The original Amato case discussion incorrectly described the outcome; the revised report clarified that the proceeding ended through consent orders.

A real citation can still be misinterpreted: verification must check both existence and meaning.

Sources: Deloitte–DEWR correspondence

Root cause: more than hallucination

Observed errors

Incorrect citations and Amato legal summary

Likely contributor

GenAI-assisted summarising and citation work; exact mechanism unknown

Governance issue

Appropriate review and oversight processes were not followed

Evidence limit: we cannot identify which specific internal control failed or whether any human review occurred.

Sources: Deloitte CEO letter (14 Oct 2025); correspondence; case-study report §6

Impact assessment: four domains

ORGANISATION

A$97,587.11 final-instalment repayment request; report corrections; potential client-trust risk.

SOCIETY

Potential reduced confidence in government-commissioned assurance; no established direct harm to welfare recipients.

ECONOMY

Likely review and correction costs; no quantified wider economic impact.

ENVIRONMENT

No identifiable direct environmental effect; computing footprint cannot be estimated.

Sources: DEWR correspondence; media reporting; case-study report §7

What Deloitte did after discovery

Correct

Revised report issued 26 September 2025; references and Amato discussion amended.

Review

Revised report underwent additional review under the direction of Deloitte’s Chief Risk Officer.

Acknowledge

CEO formally apologised on 14 October and accepted that appropriate review and oversight were not followed.

Deloitte stated that the report’s substantive findings and recommendations remained unchanged.

Sources: Deloitte–DEWR correspondence; CEO letter

Did the response prevent recurrence?

Immediate remediation

Identified inaccuracies were corrected; additional review and formal acknowledgement followed. This addressed the visible report defects.

Long-term prevention: unproven

The reviewed public sources do not establish a detailed internal RCA, implemented preventive controls or evidence that recurrence risk was tested.

Conclusion: correction of an incident ≠ demonstrated resolution of its underlying governance weakness.

Sources: case-study report §8; available public correspondence

Proposed controls: verification before delivery

Automated citation checks

Validate authors, titles, publication details; flag unverified items for human follow-up.

Subject-matter expert review

Require qualified legal review of high-risk interpretations and source meaning.

Clear approval ownership

Assign responsibility for AI-assisted sections and require documented sign-off.

Disclosure & incident learning

Disclose GenAI use where required; document issues, remediation and lessons learned.

Source: case-study report §9

Key lesson: responsibility does not transfer to AI

GenAI can assist in synthesizing insights, but ultimate accountability for final work accuracy remains 100% human.

Source

- Deloitte–DEWR correspondence and CEO acknowledgement
- Media reporting (AFR, AP, CNA, The Guardian)
- Case study report (https://github.com/mlnotes2718/gen-ai-case-study-deloitte)

Source: case-study report; official reports and correspondence